BAHRAIN

LAND AREA 765 SQ. KM	**POPULATION** 1.59 MILLION
INDIAN EXPATRIATES 317,564 (35% of expats in Bahrain)	**REMITTANCES TO INDIA** $1.8 BILLION (1.5% of total inflows)
GDP $47.1 BILLION	**OIL RENTS*** 10.9%

THE DAMAGE

NO. OF MISSILE/ DRONE ATTACKS 650+	**KILLED/ WOUNDED** 3/100
DROP IN OIL EXPORTS 100%	**GDP GROWTH DOWNGRADE** 1.8 % POINTS

KEY FACILITIES HIT

● Bapco Energies oil refinery (Sitra) ● Gulf Petrochemical Industries (Sitra) ● Desalination plants ● Bahrain international airport

*economic surplus generated from oil production, as % of GDP

role as a regional hub, these disruptions carried both immediate costs and reputational risks.

The financial sector, a cornerstone of Bahrain's economy, has demonstrated resilience but not immunity. While the Kingdom's regulatory framework and institutional depth provide a degree of insulation, prolonged instability inevitably dampens investor sentiment. Capital tends to gravitate toward predictability, and in times of uncertainty, even fundamentally strong financial systems must contend with cautious market behaviour.

THE ROAD TO RECOVERY

Yet it would be incomplete to view the situation solely through the lens of vulnerability. Bahrain has, over the past decades, cultivated a notable degree of economic adaptability. The Kingdom's experience in managing fiscal pressures, diversifying its economic base and leveraging regional partnerships may well prove to be critical assets in navigating the aftermath of the conflict.

Certain sectors are likely to demonstrate a capacity for recovery as stability gradually returns. Financial services, fintech and digital economy initiatives—areas where Bahrain has invested strategically—are less dependent on physical mobility and may rebound more quickly. Likewise, industrial sectors such as aluminium production, integrated into global supply chains, may experience temporary disruption but retain strong long-term fundamentals. The ceasefire, while fragile, opens a critical window for economic recalibration. For Bahrain, this is not merely a moment of recovery but also an opportunity to accelerate structural reforms and reposition itself within a post-conflict regional economy. Efforts to diversify revenue streams, enhance energy security and invest in resilient infrastructure are likely to gain renewed urgency.

An essential dimension of Bahrain's socio-economic fabric—one that cannot be overlooked—is the presence of a large and dynamic expatriate workforce, including a significant Indian community. Indian nationals have long played a vital role in Bahrain's development, contributing across sectors ranging from construction and services to healthcare and finance. The recent conflict has inevitably affected this community. However, Bahrain's longstanding commitment to social stability and the rule of law helped mitigate the risks of large-scale disruption. Efforts to maintain essential services and economic continuity provided a degree of reassurance to expatriate populations.

EFFORTS TO MAINTAIN ESSENTIAL SERVICES AND ECONOMIC CONTINUITY PROVIDED A DEGREE OF REASSURANCE TO EXPATRIATES

The India–Bahrain relationship, built over centuries of trade, cultural exchange and people-to-people ties, remains a stabilising factor. Bilateral trade, while affected in the short term by logistical challenges, is underpinned by strong structural complementarities.

Looking ahead, the central question is not whether Bahrain will recover, but how it will position itself in the aftermath of the conflict. The trajectory will depend on several variables: the durability of the ceasefire, the broader regional security environment and the effectiveness of domestic policy responses.

There is reason for cautious optimism. Bahrain is not facing this challenge in isolation. As a member of the Gulf Cooperation Council (GCC), it benefits from a network of economic and political support that has historically played a crucial role in maintaining regional stability. Collective approaches to security and economic coordination may once again prove decisive.

At the same time, the lessons of the recent crisis are likely to shape future policy thinking. The need to balance openness with resilience, integration with self-reliance, and growth with stability will become more pronounced. For Bahrain, this balancing act is not new, but it has now acquired renewed urgency.

The ceasefire marks not an end, but a transition. The real test for Bahrain—and the wider Gulf—lies in how this pause is used: whether as a temporary relief before another cycle of tension, or as a foundation for a more stable and economically resilient future. ■